OBITUARY: RAHUL BAJAJ (1938-2022)

Master of the Rough Road

Known for speaking his mind, India's top industrialist championed domestic competitiveness while also changing swiftly with the times

By M.G. Arun

'You just can't beat a Bajaj.' So went the tagline for one of Bajaj Auto's popular advertisements. When it came to candour, few could beat Rahul Bajaj, chairman emeritus of the Bajaj Group, who passed away in Pune on February 12 at the age of 83. Here's an instance. The year 2000-'01 was one of the toughest for his business. After several years of high growth, sales had fallen over three per cent, to Rs 3,588 crore. Operating profits and margins had almost halved as competition, both domestic and foreign, snapped at the company's heels. Bajaj knew it was time for a shake-up of the company culture, which by then had come to take success for granted. "It has been an article of faith for us at Bajaj Auto to say things as they are—be they good or bad, without exaggeration or sugarcoating. As your chief fiduciary, I have no intention of departing from this practice," he said at the company's annual general meeting that year. "The hard fact is that 2000-'01 has been a bad year for your company—financially the worst year in its recent history." He went on to announce a big shift in the company's focus, increasing the volumes and market share of motorcycles, growing the market for geared scooters as well as introducing four-stroke versions, a big push toward ungeared scooters and a thrust on higher productivity and cost reduction.

The effort paid off. The following year, sales grew 15 per cent year-on-year to Rs 4,126 crore. The company's operating profit doubled, registering as the second highest in its history. This came about despite the economic turmoil caused by the aftershocks of the terrible Bhuj earthquake, the September 11 attack on the US, the terrorist attack on Parliament and the Gujarat riots. The company also launched a most formidable product—the Bajaj Pulsar—in November that year, transforming the market from one of small-capacity two-wheelers to high-powered bikes, and capturing the imagination of the Indian youth. Today, Bajaj Auto is one of India's largest two-wheeler manufacturers, selling 363,443 units of two-wheelers and commercial vehicles in January 2022. It is also one of the country's biggest exporters, selling 2.2 million units of its two-wheelers in the overseas market in calendar year 2021.

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That was the quintessential Bajaj. He never minced words and, most often, they found their mark. "It is not possible for me to praise anybody. I was not born that way," he said at an awards ceremony in 2019, addressing three Union ministers seated on stage, as he went on to express his concern over what he called "tax terrorism" and a general "environment of intolerance" in the country. It is another question whether everyone agreed with him. But, in the end, he would win critics over with a disarming smile. If perchance a journalist questioned him about the Bombay Club (a group of eight famous industrialists, including Lala Bharat Ram, Lalit Mohan Thapar, Hari Shankar Singhania and Bajaj, who wrote to then-finance minister Manmohan Singh in 1993 asking for a level playing field for the Indian industry in the post-liberalisation era), he would spend time explain-